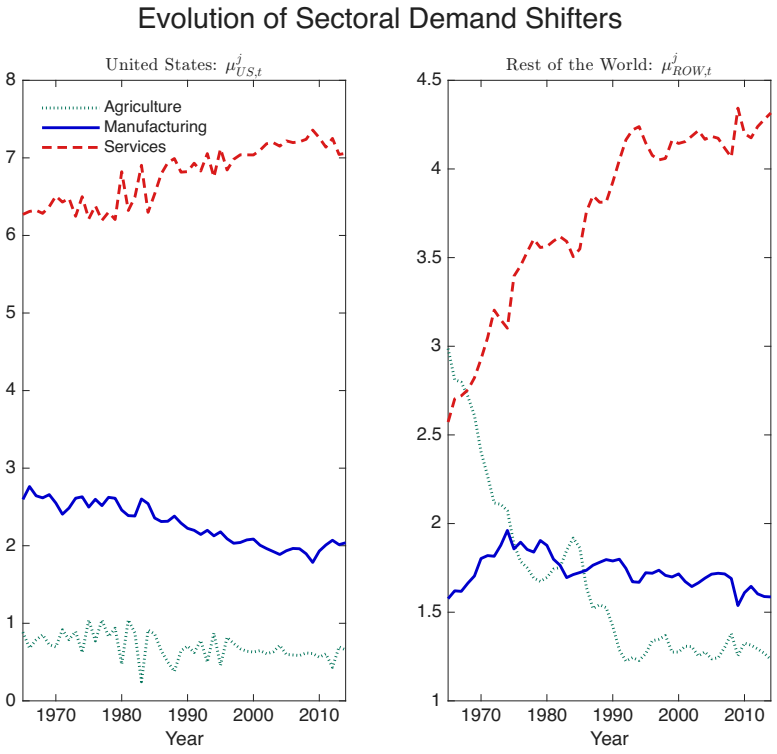
GSC Summary: Recovered Parameters and Model Results

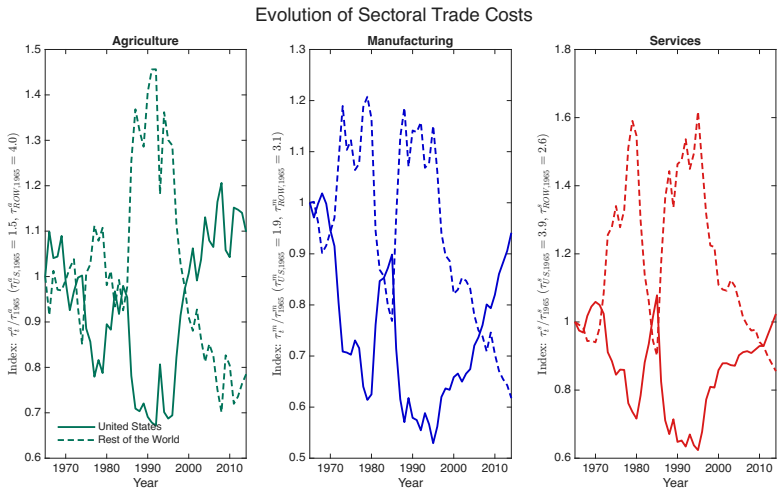
August 7, 2026

Small figures so the whole project can be talked through. Under each figure is a plain-language read of whether the result looks right and, if not, why.

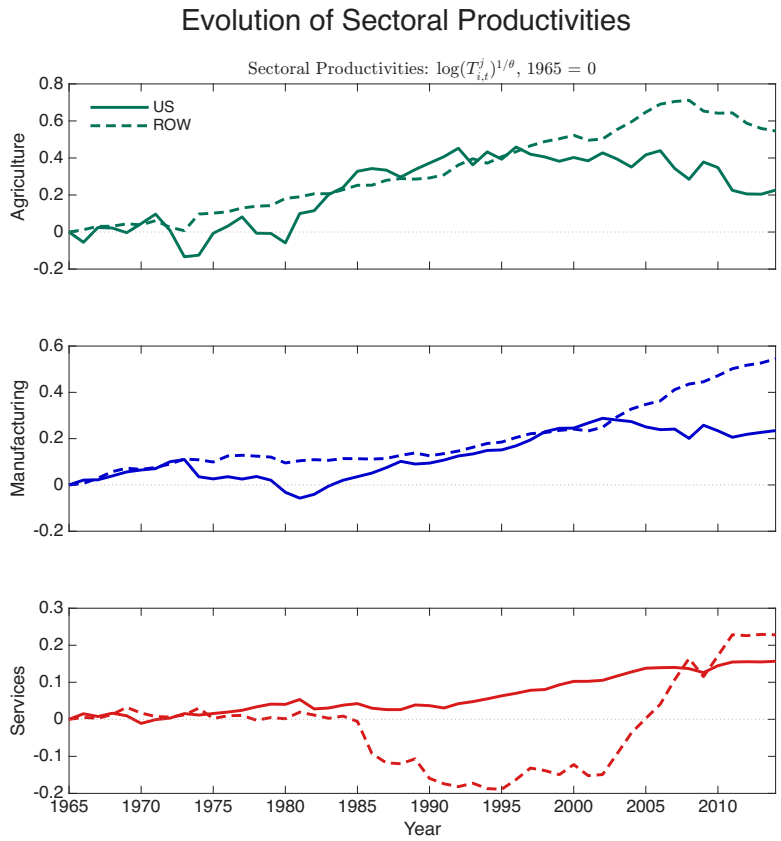
1. Recovered parameters (1965–2014)



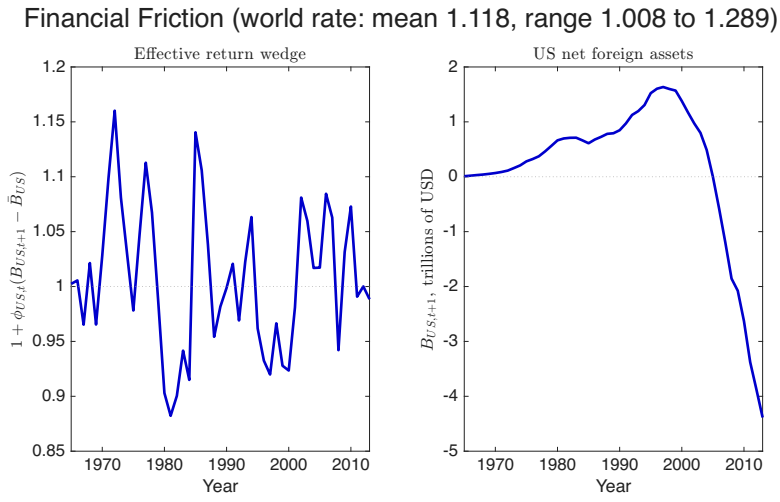
This looks right. Services demand shifts up in both countries while demand for manufacturing and agriculture is flat to down, which is the standard structural-change pattern the model needs to reproduce.



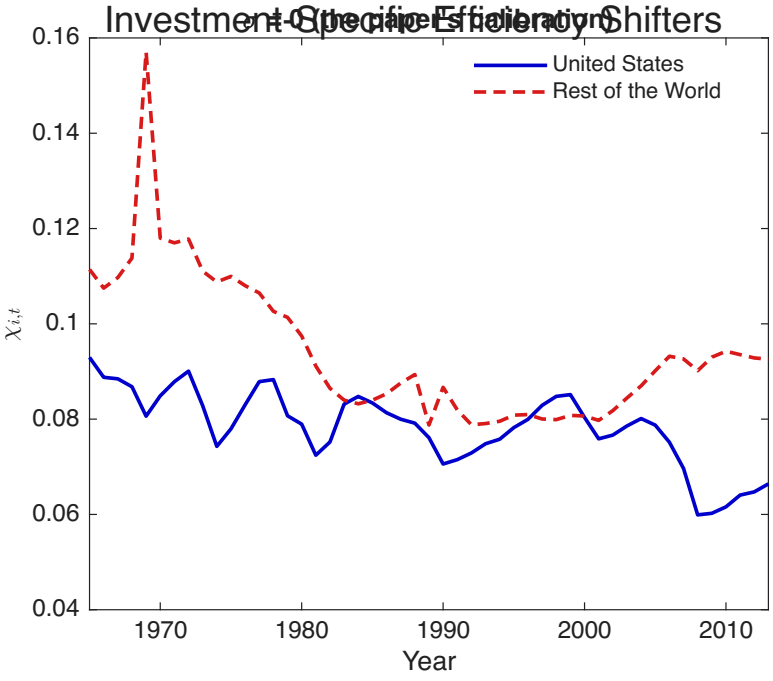
This looks right for the Rest of the World and flat for the US. Opening trade costs fall substantially, so the globalization channel is present. But the US-facing costs barely move, which is already a warning that freezing trade costs will not do much for the US.



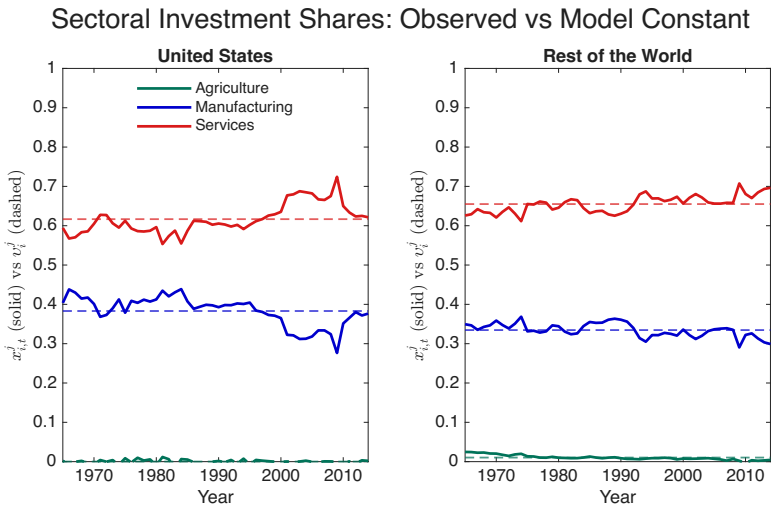
This looks right, with a caveat. Both countries grow in every sector and the Rest of the World catches up, which is the story we want. But the ROW rise is very large and worth checking against the raw capital and output series before relying on it.



This looks right. The friction is small and gentle, the world rate edges down over time, and US net foreign assets build up steadily – which is exactly what the friction exists to explain.



This looks right. The efficiency shifter declines gently for both countries, a sensible path that matches capital growth. The former spike from the Soviet capital splice is gone.



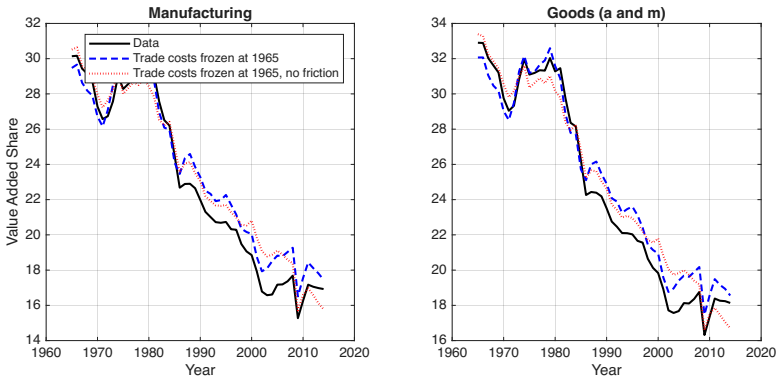
This looks right. Observed investment shares move modestly about the model's constant value, and the gap between them is absorbed by the demand shifters, as intended. Nothing looks off.

2. Model output and counterfactuals

The counterfactual freezes bilateral trade costs at their 1965 values and lets everything else move as recovered. Two runs: with the financial friction active (headline) and with it switched off (robustness). The table shows how much of the manufacturing value added decline each run explains over the full sample and over the 1970–2007 window the paper reports.

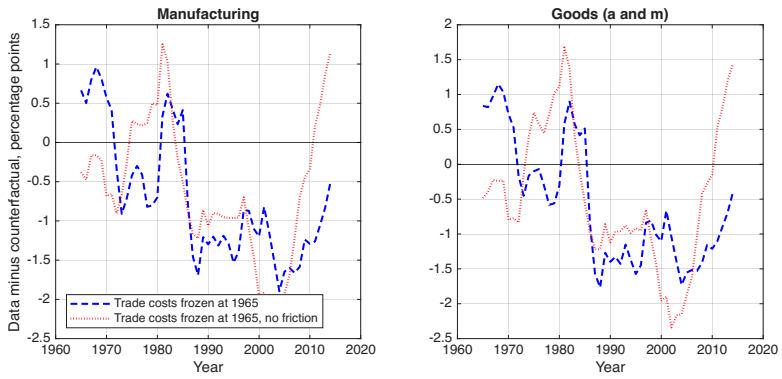
Table 1: Trade-cost counterfactual: change in value added shares (pp)

	1965–2014		1970–2007	
	Man.	Goods	Man.	Goods
Data	−13.2	−14.8	−9.9	−11.4
Trade costs frozen at 1965	−12.0	−13.5	−7.7	−9.1
share of decline explained	9.0%	8.5%	22.5%	19.8%
Trade costs frozen, no friction	−14.7	−16.7	−9.4	−11.2
share of decline explained	−11.6%	−12.9%	5.4%	2.1%

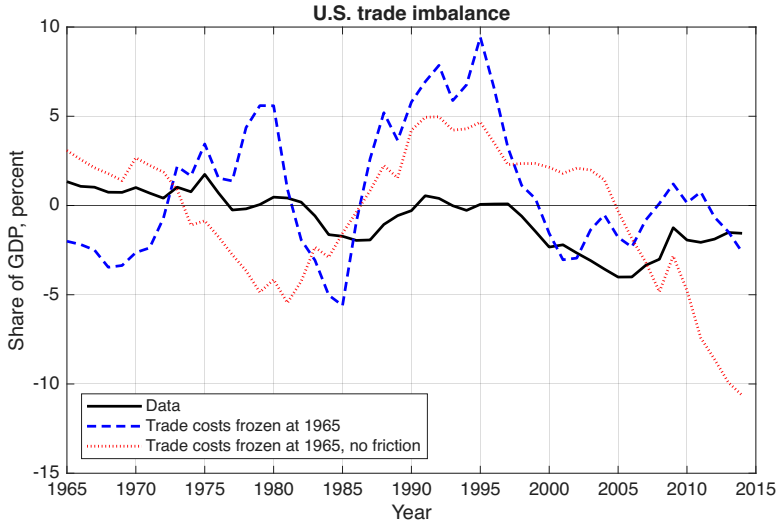


Look right mechanically. The model's

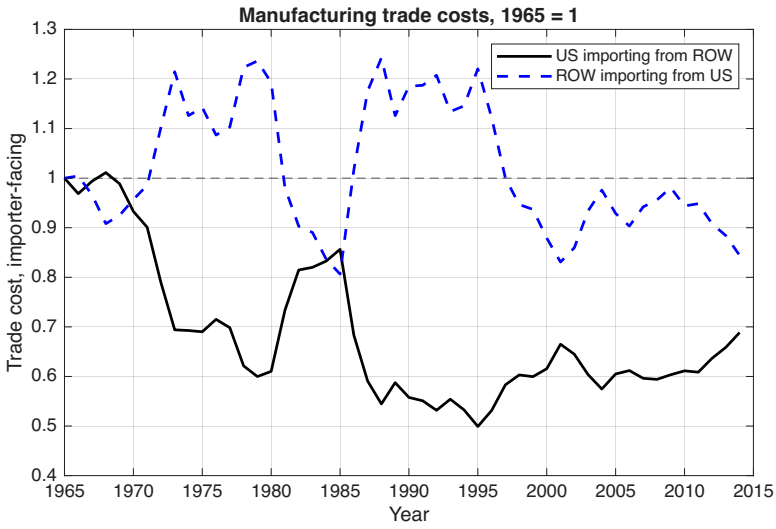
runs hug the data, so it reproduces the structural change it is being asked to explain.



This needs more thought. Freezing trade costs removes only a small part of the manufacturing decline, so the headline channel explains little – and how much it explains depends heavily on which years we look at.



This looks right. With the friction the model traces the observed imbalance path; without it the path is basically flat, so this is the channel doing the work.



This looks right and confirms the trade-cost figure above: costs fall for the Rest of the World and stay put for the US, so freezing them changes little for the American economy.

Net reading. The model works, but the headline result is weak. Trade costs account for at most a quarter of the manufacturing decline, and the direction can even flip depending on the window and whether the friction is included.

3. Outstanding questions

1. **Do tradeable services count as goods?** The baseline keeps wholesale, retail and hotels/restaurants in services and includes government consumption. Moving wholesale and retail (and hotels and restaurants, which the pre-2000 tables cannot separate) into goods and dropping government shifts a large share of US consumption out of services and into manufacturing, bringing services closer to the share the national accounts report. Under that definition the recovered demand shifters change ordering – manufacturing starts above services and the two converge rather than diverge, matching the 2017 draft. Decide which sector definition is the right one.

2. **Things that may still be broken, in no particular order.**

   - The trade-cost answer is weak and window-dependent, and can flip sign when the friction is switched off. That may be a real finding, but it should be understood before it goes in the paper – is it the flat US-facing costs, or the friction interacting with the frozen costs?
   - The Rest of the World productivity rise is very large over fifty years; check it is not an artifact of the capital splice, the deflation, or the exchange-rate anchor.
   - The recovered world interest rate is nearly flat. Confirm it matches the target we actually want to hit.
   - After the exchange-rate fix the price-level ratio between the two regions moves in a reasonable band; recheck once more that the anchor is doing what it should for the level of trade costs.